

The Ethical Implications of SHEIN's Labor Practices

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With the rapid growth of online shopping and never-ending fashion trends, the Chinese-based, fast-fashion industry giant, SHEIN, has formed a reputation for meeting demands, being affordable, and convenient for consumers all around the world. However, investigations over the last couple of years have exposed troubling conditions in its supply chain, raising ethical concerns regarding labor practices. SHEIN's responses to these allegations have been shown to be insufficient and lacking transparency and reveal how the company's defense is evasive when it comes to addressing labor conditions and sourcing issues.

Labor Allegations and Corporate Response

In 2024, investigations by major media outlets revealed serious labor violations at factories supplying SHEIN. Employees were noted to work over 75-hours per week on average, which is in direct violation of China's labor laws stating that workers are limited to 40-hour workweeks with a maximum of 36 hours (about 3 days) of overtime per month (Quiroz-Gutierrez, 2024). It is also worth mentioning that SHEIN's code of conduct was also violated in the process, albeit still illegal. The company states that stakeholders are limited to working only 60-hours per week, and some of those hours would go unpaid if the employee were to make a mistake during the sewing process and would have to fix it in their own time (Quiroz-Gutierrez, 2024). This comes right after SHEIN made claims of making a commitment to improve working hours, which the investigation revealed to be false.

As well as working excessive hours, the conditions in which stakeholders work make the labor cost unjustified. Workers often make below the living standard of income, paid less than a dollar per every clothing piece made (Bicker, 2024). They also find themselves in poor working conditions throughout their entire shifts, with textiles scattered across the floors which result in

safety hazards, especially with management not enforcing a ban on smoking in a potentially flammable area (Quiroz-Gutierrez, 2024).

Despite these allegations, SHEIN did not directly deny them and showed little transparency to the public about their process of resolving these issues. The company offered a vague reply stating that they are working on resolving the issues and further emphasizing their code of conduct, which is still in clear violation of the law. Plus, they also refused to release details about their sourcing of cotton, which was put under question after allegations of it being sourced through forced labor practices of minority groups in Xinjiang (Bicker, 2024). Instead, SHEIN reiterated their commitment to ethical sourcing but failed to provide evidence to support these claims. The refusal of SHEIN to be transparent about their next steps and past actions concerning ethical issues has raised serious doubts about their willingness to be held accountable for their policies.

Evaluation and Alternative Ethical Solutions

Within the perspective of stakeholder theory, SHEIN's response appears ethically insufficient. Stakeholder theory emphasizes that corporations not only have moral obligations to shareholders but rather everyone who is affected by business decisions, being stakeholders. The company's vague assurances and lack of transparency about future change within the company reveals their lack of care for all employees and would rather prioritize avoiding public scrutiny for as long as possible for the sake of making the most profits in the short-term. Plus, due to their history of inaction to improve worker's conditions in the past despite them stating that changes will be made, it can be suggested that SHEIN is not interested in protecting their employees from harm anytime soon. This trend among management means that they would rather prioritize making sales at the cost of safe and justified working conditions.

SHEIN's current business model is unsustainable for the long-term. If management continues to go down this path, it will be hard for the company to sustain a positive reputation with investors and consumers alike, which can translate into a decline in profits. It would also mean the further exploitation of workers beyond the limits of the working conditions allowed in China, which, ethically, continues to be wrong and costly in terms of human labor and safety. To better align with a model that can sustain SHEIN for the long-term, it is important that they take the steps to become more transparent and recognize stakeholders as valuable beyond their role as "tools."

After creating that change of narrative within management, alternative solutions can then be proposed to fix these issues. To begin with, the company could investigate updating and enforcing their code of conduct, so it is more in line with at least the minimum standards of labor and safety laws, protecting workers' rights to fair pay, humane hours, and safe working conditions. They can also collaborate with credible third-party auditors that can perform unannounced inspections to find further weaknesses in the code of conduct. Along with the audit, publishing the results and supply lists to the public can show commitment to transparency and strengthen SHEIN's reputation of accountability.

Conclusion

SHEIN's ongoing labor issues and inadequate responses highlight serious ethical concerns within their business model and the need for change under the principles of stakeholder theory. SHEIN must ensure the well-being of its workers and show a higher level of commitment to becoming more responsible and transparent of their practices, out of the need to prevent long-term damage to their reputation as well as finally completing their moral duties that their workers deserve.

References

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